CONCEPTS OF ECONOMICS

Tutorial 01

Everyday Economic Thinking

Q1. You have ₹100. You want a movie ticket (₹150), a book (₹100), and a pizza (₹120). Why can't you have all three?

- **A.** The shops don't sell them together
- **B.** You simply don't have enough money for all of them
- **C.** Your parents said no
- **D.** They're not available on the same day

Q2. Every family, every business, and every country runs into the same basic problem: they can never have everything they want. What is this basic problem called?

- **A.** Unemployment
- **B.** Inequality
- **C.** Poverty
- **D.** Scarcity

Q3. Imagine a magical world with unlimited chocolate for everyone, forever. What would most likely happen to the price of chocolate there?

- **A.** It would double
- **B.** It would fall to zero
- **C.** It would stay the same
- **D.** It would triple

Q4. Which of these is a genuine 'need', rather than just a 'want'?

- **A.** A new smartphone
- **B.** A movie ticket
- **C.** Drinking water
- **D.** Branded shoes

Q5. You skip a friend's birthday party to study for tomorrow's exam. What have you actually given up by choosing to study?

- **A.** Nothing — studying was clearly the right call
- **B.** The enjoyment of attending the party — this is called an opportunity cost
- **C.** Money
- **D.** Your friendship, forever

What Is an "Economy", Really?

Q6. Which of these best describes what an "economy" actually is?

- **A.** Just the government's budget
- **B.** The system through which people produce, buy, and sell goods and services
- **C.** Only the stock market
- **D.** The total money printed by a country

Q7. In economics, what does 'demand' for a product really mean?

- **A.** Simply wanting something
- **B.** Needing something to survive
- **C.** How much of it is sitting in shops
- **D.** How much of it people are willing AND able to buy at a given price

Q8. If the price of your favourite snack suddenly doubles overnight, what usually happens to how much of it you buy?

- **A.** You buy more
- **B.** You buy the same amount
- **C.** You buy less
- **D.** You stop wanting it forever

Q9. Every economy — a village, a city, or an entire country — must answer three basic questions. Which of these is NOT one of them?

- **A.** What to produce?
- **B.** Where to produce?
- **C.** How to produce?
- **D.** For whom to produce?

Q10. In which kind of system do buyers and sellers decide prices freely, with almost no government control?

- **A.** Command economy
- **B.** Market economy
- **C.** Mixed economy
- **D.** Traditional economy

Systems & Ideologies

Q11. What do we mean when we call a country a 'mixed economy'?

- **A.** It mixes modern and traditional industries
- **B.** It combines both government (public) and private-sector participation
- **C.** It mixes foreign and domestic investment only
- **D.** It mixes commercial and subsistence farming

Q12. In a 'command economy', who mainly decides what gets produced?

- **A.** Consumers, through their everyday choices
- **B.** Private businesses competing with each other
- **C.** The government or central planners
- **D.** Foreign investors

Q13. What does "Capitalism" mainly refer to?

- **A.** Government ownership of all capital
- **B.** Private ownership of capital goods and businesses
- **C.** Simply owning a lot of cash
- **D.** Owning homes and cars only

Q14. In a pure market economy, whose wants mainly drive what gets produced?

- **A.** The government's
- **B.** Companies' own preferences
- **C.** Consumers'
- **D.** Workers'

Q15. In which economy do both consumers and producers respond mainly to the market forces of supply and demand?

- **A.** Market economy
- **B.** Open economy
- **C.** Controlled economy
- **D.** Command economy

Money, Prices & the Bigger Picture

Q16. When there is inflation in the economy, what happens to the value of the money already sitting in your wallet?

- **A.** It increases
- **B.** It decreases
- **C.** It stays exactly the same
- **D.** It doubles

Q17. In simple terms, what does GDP (Gross Domestic Product) measure?

- **A.** Just the government's own income
- **B.** The total value of all finished goods and services produced in a country over a period
- **C.** Only the country's exports
- **D.** The total salary earned by the population

Q18. Which of these statements about economics is true?

- **A.** Microeconomics studies the economy as a whole
- **B.** Macroeconomics studies individual markets
- **C.** Governments never influence market prices
- **D.** Economics tries to understand why prices are what they are, and why they change

Q19. Rapid economic growth is usually accompanied by some rise in...

- **A.** Deflation
- **B.** Inflation
- **C.** Stagflation
- **D.** Hyperinflation

India in the Mix

Q20. India is usually described as which type of economy?

- **A.** Pure command economy
- **B.** Pure market economy
- **C.** Mixed economy
- **D.** Traditional economy

Q21. If the RBI (India's central bank) wants to cool down rising prices (inflation), which tool does it typically reach for?

- **A.** Printing more currency notes
- **B.** Raising the repo rate, making borrowing costlier
- **C.** Lowering income tax
- **D.** Closing the stock market

Q22. In 2022, the Government of India sold Air India to the Tata Group. This is an example of a shift in which direction?

- **A.** From private sector to public sector
- **B.** From public sector to private sector
- **C.** From market economy to command economy
- **D.** From capitalism to communism

Q23. Scarcity means a resource is limited relative to how much people want it. Which of these is the odd one out — i.e., generally NOT scarce?

- **A.** Time
- **B.** Fresh air (in most places)
- **C.** Skilled labour
- **D.** Money